



INDIAN PARTNERSHIP ACT

INFOGRAPHIC CHARTS FOR REVISION

Exclusive creation on the law kaksha

Author - CS Pearl Dsouza

Please Note: These infographic charts are designed as quick revision aids. For complete provisions and detailed understanding, refer to the Notes.

KINDS OF PARTNERS

Indian Partnership Act, 1932

Part 1

THE LAW & LEARN STUDIO

REMEMBER:

A • S • N

Active • Sleeping • Nominal

01

ACTIVE /
ACTUAL PARTNER



Most visible partner

- ✓ Invests money
- ✓ Manages business
- ✓ Shares profits
- ✓ Shares losses
- ✓ Binds all partners by his acts



Section 12(a)



RETIREMENT ALERT:
Public Notice
Required



MEMORY HACK:

"Most visible =
Most responsible"

02

SLEEPING /
DORMANT PARTNER



- ✓ Invests money
- ✓ Takes profits
- ✗ Does not manage business
- ⚖ Still has unlimited liability
- 📖 Can inspect books of accounts



RETIREMENT ALERT:
NO Public Notice
Required



MEMORY HACK:

"Silent investor,
still liable"

03

NOMINAL
PARTNER



- ✗ No investment
- ✗ No management
- ★ Gives reputation to firm
- ⚖ Liable to outsiders
- 📢 Public Notice Required when leaving the firm



MEMORY HACK:

"Gives name,
takes blame"



QUICK REVISION

ACTIVE PARTNER



- ✓ Invests
- ✓ Manages
- ✓ Shares Profits
- ✓ Shares Losses
- ✓ Public Notice Required

SLEEPING PARTNER



- ✓ Invests
- ✗ Does not Manage
- ✓ Shares Profits
- ✓ Shares Losses
- ✗ Public Notice NOT Required

NOMINAL PARTNER



- ✗ No Invest
- ✗ No Manage
- ✗ No Share in Profits/Losses
- ✓ Liable to Outsiders
- ✓ Public Notice Required



EXAM
TIP



Only **SLEEPING PARTNER**
can retire without
public notice.



SAVE THIS
FOR
REVISION!



KINDS OF PARTNERS

Indian Partnership Act, 1932

Part 2

The Law & Learn Studio



Let's Learn Smartly!

REMEMBER:
P • S • H
Profits Only
• Sub-Partner
• Holding Out

01 PARTNER IN PROFITS ONLY

- ✓ Shares profits
- ✗ Does not share losses
- 💰 Has capital investment

⚠ Important:
Still liable to third parties

🚨 **Exam Trap:**
"No loss" arrangement works only between partners, **NOT** against creditors.

🧠 **Memory Hack:**
"Profit without pain? Law says liability remains."

02 SUB-PARTNER

Partner of a partner
NOT partner of the firm



- ✗ No rights against firm
- ✗ No duties towards firm
- ✗ No liability for firm debts
- ✗ Cannot inspect accounts

✓ Right only on winding-up profits

🧠 **Memory Hack:**
"Partner ka partner, firm ka koi nahi"

03 PARTNER BY HOLDING OUT (SECTION 28)

- ★ Not a real partner
- ★ But acts like one OR allows others to call him one

⚠ Liable if third parties give credit relying on that belief

3 Essentials:

- 1 Representation
- 2 Reliance
- 3 Credit Given

🧠 **Memory Hack:**
"Act like a partner, pay like a partner."



GOLDEN RULE

Except **SUB-PARTNER**,
ALL other partner types can have **liability** towards third parties.

MCQ RAPID FIRE

- 👤 Partner of a partner? → Sub-Partner
- 🎭 Acts like partner? → Holding Out
- 💰 No loss sharing? → Profits Only



Learn it Clearly,
Score it Perfectly!

Key Takeaway

Understand the difference,
remember the rule,
ace the exam!



SAVE FOR EXAMS!



TYPES OF PARTNERSHIP - PART 1



Types of Partnership

Based on Duration

Partnership at Will

Partnership for Fixed Period



1 PARTNERSHIP AT WILL



Meaning:

No fixed time period is decided for the partnership.



Key Points:

- ✓ No duration fixed
- ✓ No provision for determination
- ✓ Any partner can dissolve by giving notice



Example:



+



start a stationery business.

Agreement says:

"We will continue as long as we wish."

No end date is mentioned.

↪ Partnership at Will



Memory Trick: "Will of Partners = Partnership at Will"

2 PARTNERSHIP FOR FIXED PERIOD



Meaning:

Partnership formed for a specific period.



Key Points:

- ✓ Duration predetermined
- ✓ Automatically ends after expiry
- ✓ Time-based partnership



Example:



and



start a coaching centre for 3 years.

Agreement:

"Partnership shall continue from 2026 to 2029."

↪ Partnership for Fixed Period



Memory Trick: "Fixed Time = Fixed Period"

QUICK COMPARISON



PARTNERSHIP AT WILL

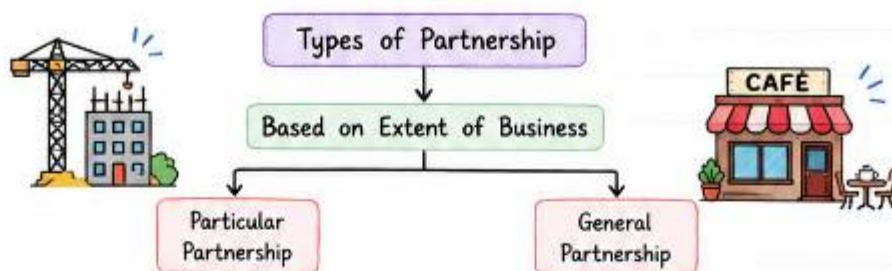
→ No end date

PARTNERSHIP FOR FIXED PERIOD

→ End date already decided



TYPES OF PARTNERSHIP - PART 2



3 PARTICULAR PARTNERSHIP



Meaning:

Created for one specific project or adventure.



Key Points:

- ✓ Single undertaking
- ✓ Ends after project completion
- ✓ Purpose-specific partnership



Example:



+



join together only to construct a shopping mall.

After mall construction is completed, partnership ends.

↪ Particular Partnership



Memory Trick:

"Particular = Particular Project"

4 GENERAL PARTNERSHIP



Meaning:

Formed to carry on all business activities generally.



Key Points:

- ✓ Continuous business
- ✓ Not limited to one project
- ✓ Covers entire business operations



Example:



+



open a chain of cafés.

They intend to run the café business continuously.

↪ General Partnership



Memory Trick:

"General Business = General Partnership"

DIFFERENCE: PARTNERSHIP AT WILL vs GENERAL PARTNERSHIP

Point	Partnership at Will	General Partnership
 Basis	Based on DURATION	Based on EXTENT OF BUSINESS
 Focus	How long the partnership exists	What type of business it carries on
 Meaning	No fixed period is decided	Formed to carry on business generally
 Termination	Can be dissolved by notice from a partner	May be at will or for a fixed period
 Example	A & B start a <u>grocery shop</u> without fixing any end date.	A & B run a <u>grocery business</u> continuously and not for a specific project.



NOTE: A partnership can be both General Partnership AND Partnership at Will at the same time!



QUICK REVISION FLOW – RECONSTITUTION EVENTS

1

EVENT 1 : New Partner Joins (Sec. 31)

- Needs consent of ALL existing partners
- Liability starts from date of joining (unless otherwise agreed)
- Liable for OLD firm's debts only if: new firm assumes liability AND creditors accept new firm as debtor (Novation)



2

EVENT 2 : Partner Retires (Sec. 32)

- By consent / agreement / notice (if at will)
- Remains liable until public notice of retirement given
- Can be discharged from past liability by agreement (express or implied)



3

EVENT 3 : Partner Expelled (Sec. 33)

- Must satisfy: contractual power + majority + good faith (notice + hearing)
- If invalid: expulsion is void, partner continues



4

EVENT 4 : Partner Insolvent (Sec. 34)

- Ceases to be partner from date of adjudication order
- Firm dissolved UNLESS otherwise agreed
- No public notice required



5

EVENT 5 : Partner Dies (Sec. 35)

- Firm dissolved UNLESS otherwise specifically agreed
- No public notice required
- 2-partner firm: always dissolved on death of either



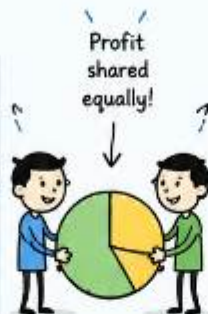
RIGHTS & DUTIES OF PARTNERS

Sections 13-17 | Indian Partnership Act, 1932

SECTION 13

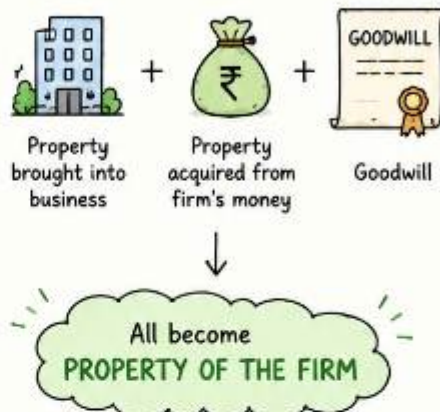
MUTUAL RIGHTS & DUTIES

-  No salary or remuneration (unless agreed)
-  Share profits equally (unless agreed otherwise)
-  Contribute equally to losses
-  Interest on capital
 - ✗ Not allowed
 - ✓ Only if agreed
-  Interest on loan
 - ✓ 6% p.a.



SECTION 14

PROPERTY OF FIRM



SECTION 15

APPLICATION OF FIRM PROPERTY



SECTION 16

PERSONAL PROFITS

Partner earns **SECRET PROFIT**?

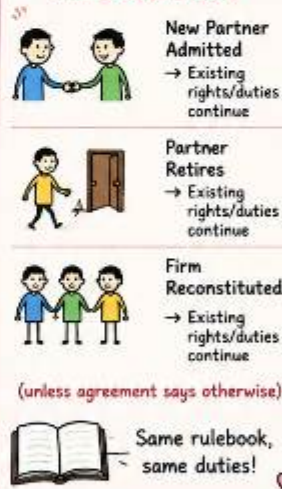


Must hand over profit to the **FIRM**



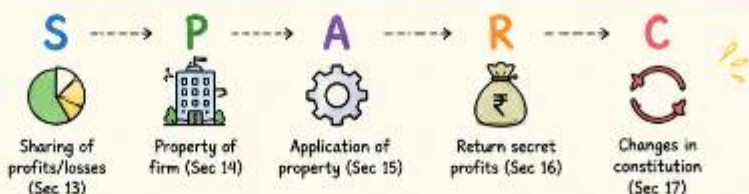
SECTION 17

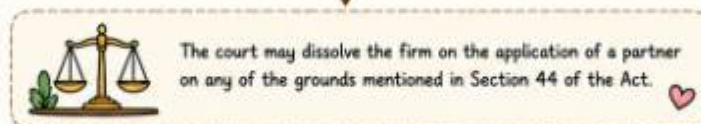
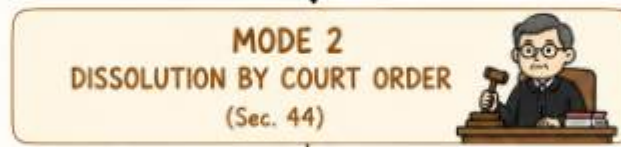
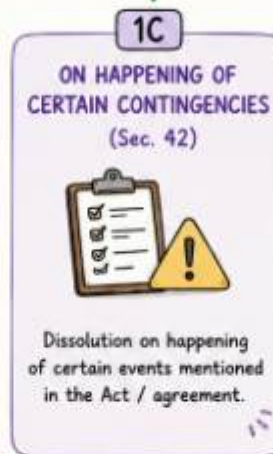
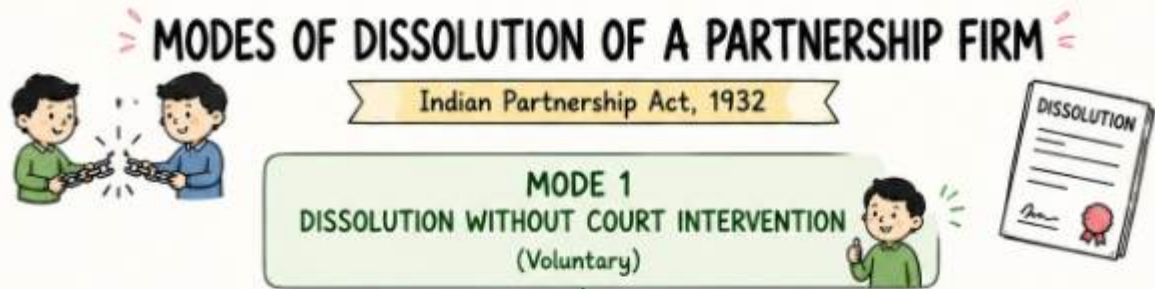
RIGHTS & DUTIES AFTER CHANGES



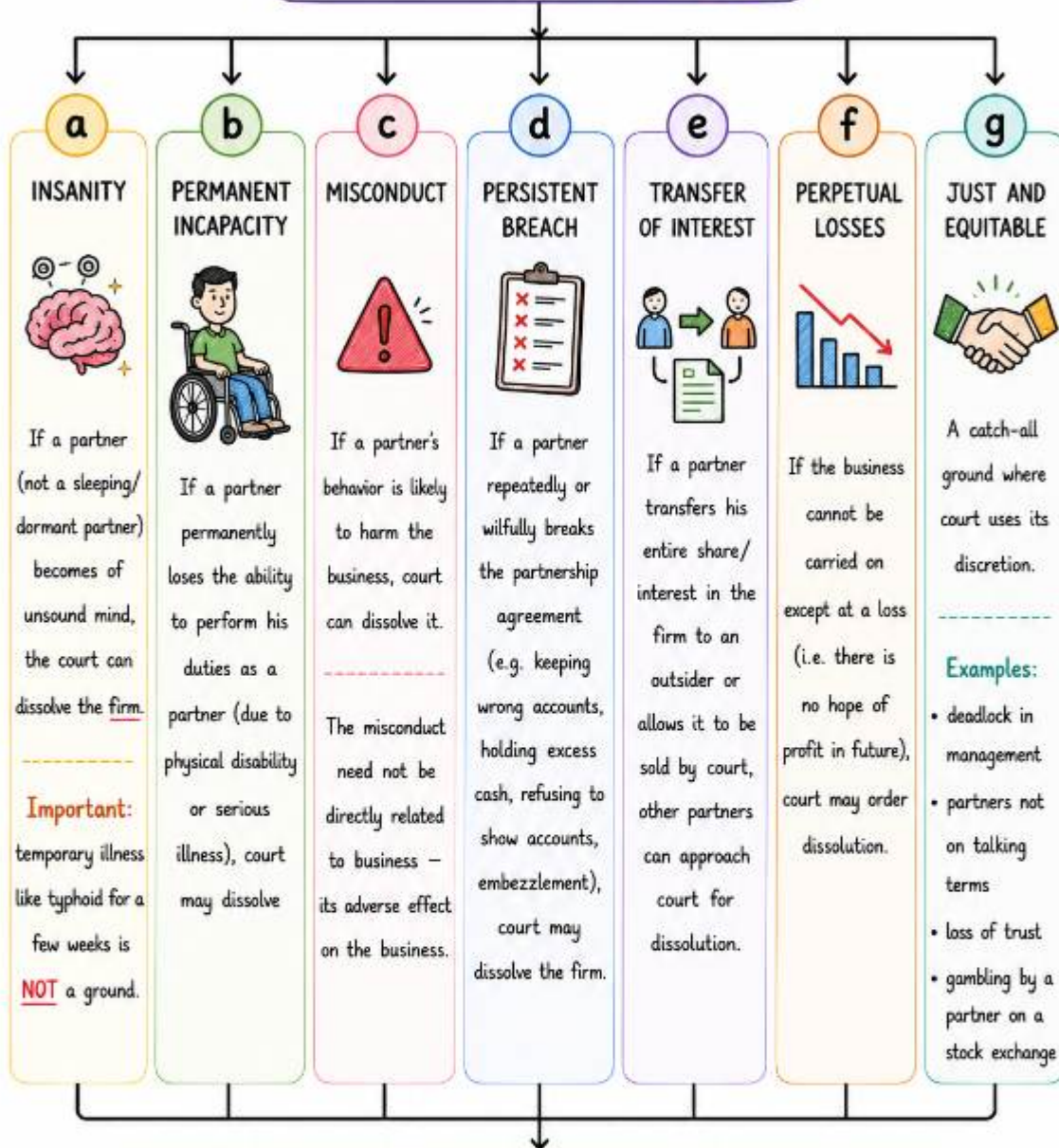
MEMORY TRICK

13-17 = **S.P.A.R.C.**





DISSOLUTION BY COURT (Sec. 44) 7 GROUNDS



KEY POINTS



- ✓ Any one of the above 7 grounds is sufficient.
- ✓ Petition must be filed by a partner.
- ✓ Court has the discretion to dissolve the firm on these grounds.
- ✓ Dissolution will be ordered if the court is satisfied with the ground(s).

(d) SETTLEMENT OF PARTNERSHIP ACCOUNTS (SEC. 48) — SUBJECT TO AGREEMENT



Aim: Settle all losses (including capital deficiencies) and distribute the firm's assets in the proper order.

A. HOW TO SETTLE LOSSES (INCLUDING CAPITAL DEFICIENCIES)

STEP 1

Pay losses out of **PROFITS**



STEP 2

If insufficient, pay out of **CAPITAL**



STEP 3

If still insufficient, partners pay **INDIVIDUALLY** in their profit-sharing ratio



Share losses in profit-sharing ratio

KEY POINT

Losses (including capital deficiency) are borne in the above order only.

B. HOW TO APPLY FIRM'S ASSETS

STEP 1

Pay debts of the firm to **THIRD PARTIES**



STEP 2

Pay each partner rateably what is due to him for **ADVANCES** (as distinguished from capital)



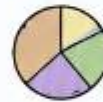
STEP 3

Pay each partner rateably what is due to him on account of **CAPITAL**



STEP 4

Distribute the **RESIDUE** among partners in their profit-sharing ratio



REMEMBER!

Assets are applied in this order only.

WORKED EXAMPLE

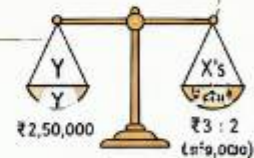
X and Y share profits/losses equally.
X dies.

- X contributed ₹6,60,000 capital
- Y contributed ₹40,000 capital
- Firm assets = ₹2,00,000



$$\begin{aligned} \text{Deficiency} &= (\text{Total Capital}) - (\text{Assets}) \\ &= (\text{₹}6,60,000 + \text{₹}40,000) - \text{₹}2,00,000 \\ &= \text{₹}7,00,000 - \text{₹}2,00,000 \\ &= \text{₹}5,00,000 \end{aligned}$$

→ This deficiency is shared equally between Y and X's estate (per their profit-sharing ratio).



★ VARIATION

If the agreement instead said surplus/deficiency is shared per capital contribution ratio, X's estate (which contributed far more capital) would bear the larger loss.

Capital Contribution Ratio

$$\begin{aligned} X : Y \\ &= 6,60,000 : 40,000 \\ &= 33 : 2 \end{aligned}$$

Deficiency of ₹5,00,000

X's Estate	Y
= ₹4,84,615	= ₹15,385

(Much larger share borne by X's estate)



SUMMARY

Losses are borne and assets are applied in the above order only, unless the partnership agreement provides otherwise.

